

# The Cultural Environment of International Business

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# Learning objectives

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- Understand **cross-cultural risk** and why it matters in international business.
- Learn the **dimensions of culture** — values, customs, time, space, symbols and social structure.
- Describe the role of **language and religion** in culture.
- Describe culture's effect on **international business** practice.
- Learn the main **models and explanations** of culture — Hall, Hofstede and beyond.
- Identify **managerial guidelines** and skills for cross-cultural success.



# Opening activity: culture in this room

## IN-CLASS OPENER · 10 MINUTES · PAIRS

*Objective: use the cultural diversity of this class as a living dataset — and experience how quickly “normal” differs across borders.*

- 1 Pair up with someone from a **different home country**.
- 2 Compare how these work at home: **greeting a business partner** · **punctuality** (what counts as “late”?) · **addressing a professor or boss** · **disagreeing openly in a meeting**.
- 3 Find **one thing that would be a faux pas** in your partner’s country but perfectly normal in yours.
- 4 Report the most surprising difference — we will map your answers onto today’s frameworks (Hall’s context, Hofstede’s dimensions).

# Key concepts

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- **Culture:** The values, beliefs, customs, arts, and other products of human thought and work that characterize the people of a given society.
- **Cross-cultural risk:** A situation or event where a cultural miscommunication puts some human value at stake. It arises in environments comprised of unfamiliar languages, and unique values, beliefs, and behaviors.
- **Socialization:** The process of learning the rules and behavioral patterns appropriate to one's society.
- **Acculturation:** The process of adjusting and adapting to a culture other than one's own; commonly experienced by expatriate workers.

# What culture is — and is not

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- **Not right or wrong — it is relative.** There is no cultural absolute; different nationalities simply perceive the world differently.
- **Not about individuals — it is about groups.** Culture is a collective phenomenon of shared values and meanings.
- **Not inherited — it derives from the social environment.** We are not born with a shared set of values; we acquire them through socialization.
- Consequence for managers: cultural differences are **learned — and therefore learnable.**

# Culture: the essential elements

Culture radiates into every part of international business — today's agenda follows these six elements.

## Culture

**Cross-cultural risk**

**Dimensions of culture**

**Language**

**Religion**

**Models & explanations**

**Managerial implications**

# Culture as an iceberg

## High culture — visible

Fine arts · literature · drama · classical music

## Folk culture — we are aware of it

Humor · religion · etiquette · popular music · cooking · dress · rites of passage · courtship

## Deep culture — below the waterline, we are unaware of it

Gender roles · greeting rituals · superior–subordinate relationships · family ties · conversational patterns · nonverbal communication · concepts of beauty · right vs. wrong · cooperation vs. competition · decision-making · problem-solving · perceptions of color ... and much more

**The management problem:** business blunders happen mostly **below the waterline** — in the part of culture nobody can see or explain to you.

# Key dimensions: values and attitudes

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- **Values** are a person's judgments about what is good or bad, acceptable or unacceptable, important or unimportant — the bedrock of culture.
- **Attitudes and preferences** are developed from values; like opinions, but often held unconsciously.
- Values common to Japan, North America and Northern Europe: **hard work, punctuality, wealth acquisition** — yet their meaning and weight differ across the three.
- Managers cannot observe values directly — they must **infer** them from behavior, which is where misreadings begin.



# Manners, customs and perceptions of space

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- **Manners and customs:** ways of behaving and conducting oneself in public and business situations — greetings, gift-giving, dining, dress codes.
- **Perceptions of space:** each culture's orientation to personal space and conversational distance — Latin cultures stand close; Northern Europeans keep distance; open-plan vs. private offices.
- Getting these wrong rarely kills a deal by itself — but it quietly signals **lack of respect and preparation**.

# Perceptions of time: monochronic vs. polychronic

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- Time dictates expectations about **planning, scheduling, profit horizons and what counts as “late”**.
- **Monochronic:** a rigid orientation — schedules, punctuality, time as a resource to be spent, saved or wasted; “time is money”. Typical: Northern Europe, North America, Japan (for schedules).
- **Polychronic:** a flexible, non-linear orientation — long-term perspective, several things at once, relationships before schedules. Typical: Middle East, Latin America, Africa, parts of Asia.
- Practical consequence: a Viennese agenda with minute-slots meets a Brazilian meeting that *starts* with 40 minutes of relationship talk — **neither side is “wrong”**.

# Symbols: the meaning of colors around the world

| Color | Europe & North America             | China                                  | Japan                          | Middle East               |
|-------|------------------------------------|----------------------------------------|--------------------------------|---------------------------|
| Red   | Danger, stop, anger, love, passion | Good luck, joy, celebration, long life | Celebration, danger, anger     | Danger, anger, evil       |
| White | Purity, peace, brides              | Mourning, death, humility              | Mourning, death, purity        | Mourning, death, purity   |
| Black | Death, evil, mourning              | Evil, color for young boys             | Evil                           | Evil                      |
| Green | Money, safety, luck, prosperity    | Youth, growth, adultery                | Life, energy, freshness, youth | Strength, luck, fertility |
| Blue  | Sadness, calm, trust, masculinity  | Strength, power, immortality           | Purity, cleanliness            | Protective                |

Why packaging, branding and web design rarely translate one-to-one. Based on Gao & Xin, Color Research & Application; cross-cultural color-meaning studies.

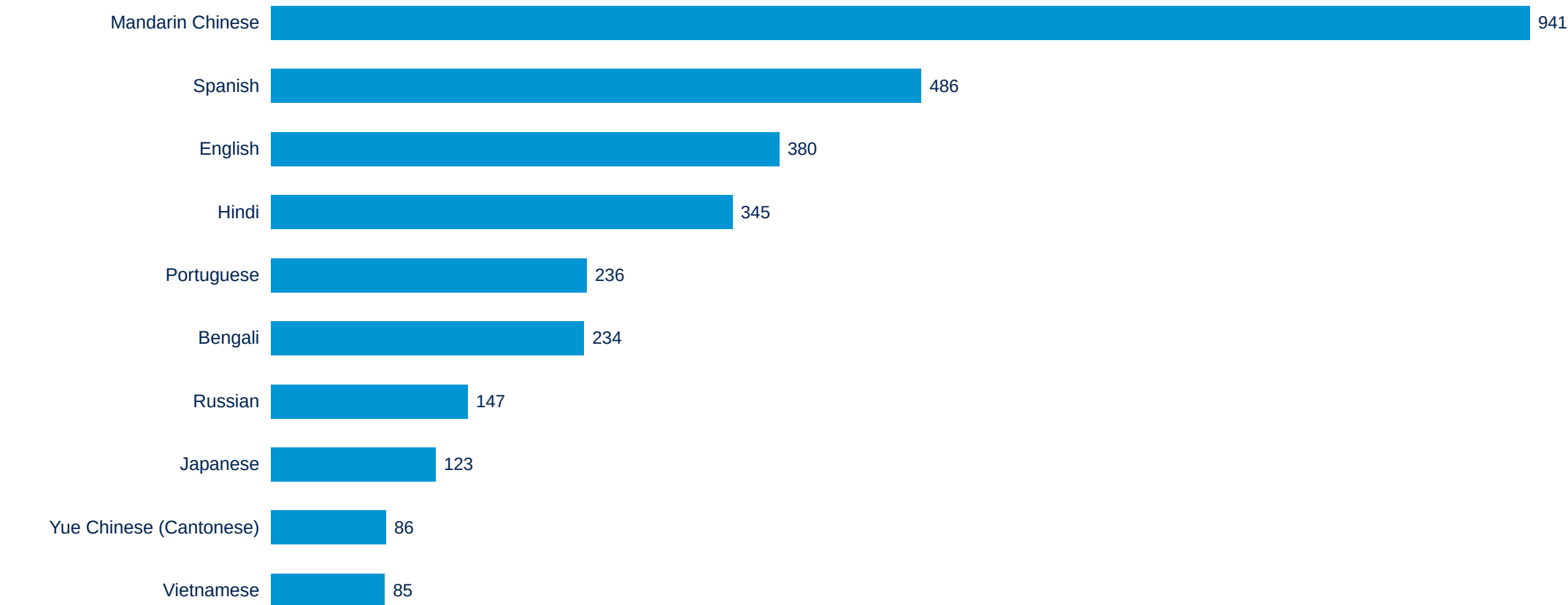
- **Social structure** is the pattern of social arrangements and organized relationships that characterize a society.
- Building blocks: **individuals** → **family** → **reference groups** → **social stratification**.
- **Family** means the nuclear family in some cultures and the extended clan in others — with direct consequences for consumption, saving and hiring.
- **Reference groups** (friends, colleagues, community) shape buying behavior; **stratification** (class, caste, mobility) shapes who can buy, sell and lead.

# Language: a key dimension of culture

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- Language is the **“mirror” of culture** — essential for communication and a window into how a society thinks.
- There are about **7,160 living languages** (Ethnologue 2025) — roughly 2,290 in Asia and 2,150 in Africa, together nearly two-thirds of the total.
- Language has **verbal and nonverbal** layers — unspoken cues, facial expressions and gestures carry much of the meaning.
- **Linguistic proficiency is a strategic asset** in international business: it builds trust, reveals nuance and prevents costly misunderstandings.

# Most spoken native languages (millions of first-language speakers)



First-language speakers, millions. By total speakers the order flips: English ~1.53 bn, Mandarin ~1.18 bn, Hindi ~0.61 bn, Spanish ~0.56 bn. Source: Ethnologue, 27th/28th ed. (2024/2025); Bengali and Portuguese are near-tied and swap ranks between editions.



# Idioms: culture in a single sentence

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- An **idiom** is an expression whose symbolic meaning differs from its literal meaning — you cannot decode it word by word.
- **Australia:** “The tall poppy gets cut down” — don’t be showy or pretentious.
- **Thailand:** “If you follow older people, dogs won’t bite you” — respect experience and wisdom.
- **Japan:** “The nail that sticks out gets hammered down” — group conformity beats individual display.
- Each idiom compresses a **core cultural value** into one sentence — which is why they resist translation.

# Blunders in international advertising

| Firm and location         | Intended slogan                       | Literal translation                                 |
|---------------------------|---------------------------------------|-----------------------------------------------------|
| Parker Pen, Latin America | “Use Parker Pen, avoid embarrassment” | “Use Parker Pen, avoid pregnancy!”                  |
| Pepsi, Germany            | “Come Alive with Pepsi”               | “Come out of the grave with Pepsi”                  |
| Pepsi, Taiwan             | “Come Alive with Pepsi”               | “Pepsi brings your ancestors back from the dead”    |
| Fisher Body, Belgium      | “Body by Fisher”                      | “Corpse by Fisher”                                  |
| Salem cigarettes, Japan   | “Salem — Feeling Free”                | “Smoking Salem makes your mind feel free and empty” |

*Translation is not localization: every slogan needs a native-speaker back-translation test before launch.*

# Even one language is two: US vs. British English

| Word              | Meaning in US English                   | Meaning in British English |
|-------------------|-----------------------------------------|----------------------------|
| <b>Redundant</b>  | repetitive                              | fired or laid off          |
| <b>Scheme</b>     | a somewhat devious plan                 | a plan                     |
| <b>Sharp</b>      | smart, clever                           | conniving, unethical       |
| <b>Windscreen</b> | a screen that protects against the wind | automobile windshield      |
| <b>To table</b>   | to put an issue on hold                 | to take up an issue        |
| <b>To bomb</b>    | to fail miserably                       | to succeed grandly         |

*If “to table a proposal” can mean opposite things in Washington and London, imagine what happens across genuinely different languages.*

# Nonverbal communication

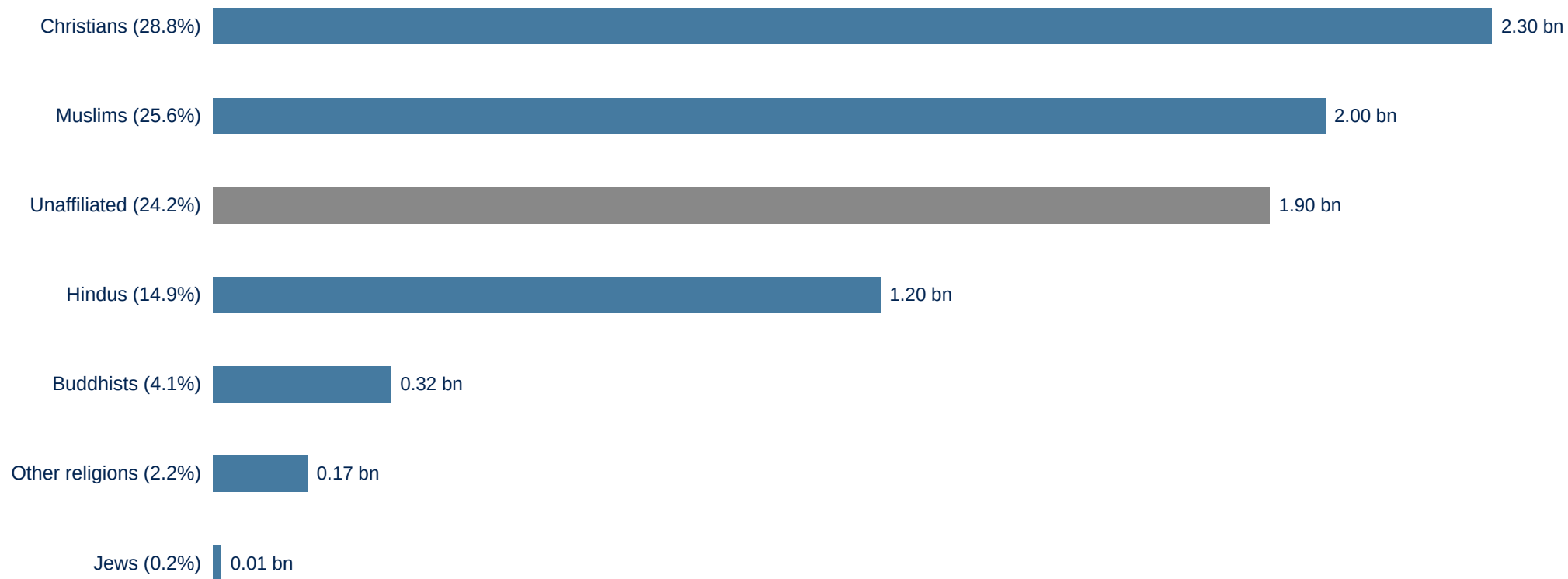
Much of what we “say” never passes our lips — and every channel below is culturally coded.

|                                                |                                           |                                           |                                                     |                                                |
|------------------------------------------------|-------------------------------------------|-------------------------------------------|-----------------------------------------------------|------------------------------------------------|
| <b>Facial expressions</b><br>smiling, frowning | <b>Eye movements</b><br>direction of gaze | <b>Hand movements</b><br>waving, gestures | <b>Head movements</b><br>nodding — not always “yes” | <b>Posture and stance</b><br>slouching, bowing |
| <b>Body contact</b><br>handshakes, embraces    | <b>Closeness</b><br>body proximity        | <b>Appearance</b><br>tidiness, dress      | <b>Ways of talking</b><br>volume, inflection        | <b>Sounds</b><br>quietness, silence            |

- The Bulgarian head-shake for “yes”, the Japanese pause before answering, the American firm handshake — identical signals, different meanings.
- In high-context cultures (next section), the nonverbal channel often carries **more** information than the words.

- **Religion:** a system of common beliefs or attitudes about a being or system of thought that people consider sacred, divine or the highest truth — plus the associated moral codes, rituals and institutions.
- Religion shapes culture — and through it, **business and consumer behavior:** working days, holidays, diet, banking, dress, advertising norms.
- Example: the “**Protestant work ethic**” (Max Weber) emphasized hard work, individual achievement and the sense that people can control their environment — one classic explanation for early industrial capitalism.
- For managers, religion is not an opinion topic: it is **market infrastructure** — from halal and kosher certification to Ramadan campaign calendars and interest-free (sharia-compliant) finance.

# World religions by adherents (billions, share of world population)



*Adherents in billions, share of world population, 2020 data. Islam is the fastest-growing religion: +347 million Muslims 2010-2020, more than all other groups combined; the unaffiliated grew by +270 million.*  
*Source: Pew Research Center, Global Religious Landscape update, June 2025.*

# The role of religion: business in Islamic societies

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- In many Islamic societies, Islam is the basis for **government, legal and social systems** — and since outcomes reflect God's will, planning and forecasting carry a different meaning.
- The Qur'an prohibits **alcohol, gambling, usury (interest) and immodest exposure** — with direct consequences for product design, marketing and finance.
- **Example — Nokia:** launched a phone showing Muslims the direction of Mecca.
- **Example — Heineken:** rolled out Fayrouz, a non-alcoholic malt drink, for Islamic markets.
- **Islamic finance** replaces interest with profit-sharing and leasing structures — a global industry now worth trillions of US dollars.

# In business, culture affects...

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- Managing employees — motivation, hierarchy, feedback and what “good leadership” means.
- Communicating and dealing with distributors and other business partners.
- Negotiating and structuring business ventures.
- Developing products and services — what needs adapting, what can stay global.
- Preparing advertising and promotional materials.
- Screening and selecting foreign partners and employees.
- Preparing for trade fairs, business meetings and negotiations abroad.



# Models of culture: cultural metaphors

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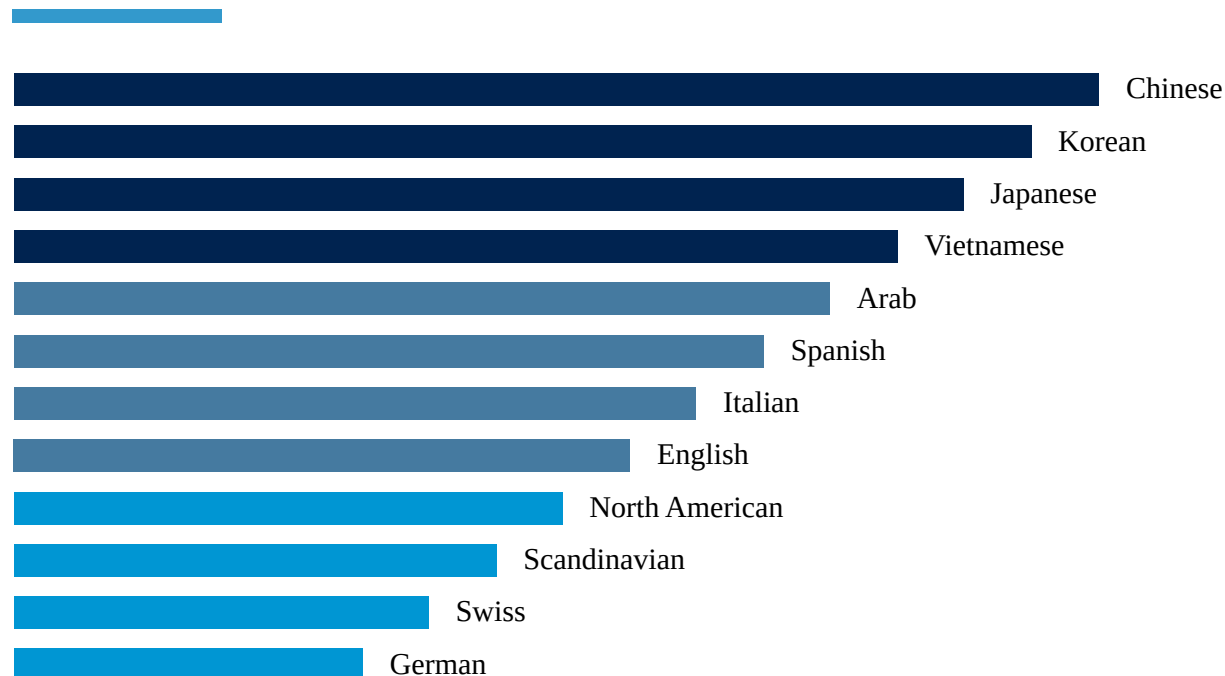
- A **cultural metaphor** is a distinctive tradition or institution strongly associated with a society — a decoding key for the whole culture.
- **American football:** systematic planning, strategy, leadership, struggle against rivals.
- **The Swedish stuga** (summer cottage): love of nature and the desire for individualism.
- **The Spanish bullfight:** ritual, style, courage and pride.
- And Austria? Suggestions from the class — the *Kaffeehaus*? The *Heuriger*? What would each say about doing business here?

# E. T. Hall: high- and low-context cultures

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- **E. T. Hall** distinguished cultures by how much meaning sits in the words themselves versus the surrounding context.
- **Low-context cultures** rely on explicit, spoken explanations — clear, efficient communication; agreements are specific, legalistic contracts; “get down to business first”.
- **High-context cultures** emphasize nonverbal and indirect language — communication aims at smooth, harmonious relationships; trust comes first, negotiations are slower and more ritualistic.
- Neither is better: a Swiss engineer’s directness reads as rude in Tokyo; Japanese indirectness reads as evasive in Zurich. **Both sides are communicating correctly — in their own code.**

# Hall's context continuum



## High context

Establish social trust first · personal relations and goodwill valued  
· agreements built on trust · negotiations slow and ritualistic

## Low context

Get down to business first · expertise and performance valued ·  
specific, legalistic contracts · negotiations as efficient as possible

*Based on Edward T. Hall, Beyond Culture (1976). Bar length ≈ context-dependence of communication.*

# Hofstede's six dimensions of national culture

## 1. Power distance

How a society handles inequality. High: steep hierarchies, autocratic bosses (Malaysia, Philippines). Low: flat structures, consultative bosses (Austria, Denmark).

## 2. Individualism vs. collectivism

Do people act as individuals or group members? Individualist: self-interest, competition (US, UK). Collectivist: group loyalty, business in relationships (China, Colombia).

## 3. Masculinity vs. femininity

Achievement orientation. "Masculine": competitiveness, ambition, wealth (Japan, Austria). "Feminine": nurturing, interdependence, quality of life (Sweden, Norway).

## 4. Uncertainty avoidance

Tolerance for risk and ambiguity. High: rules, stable careers, slow decisions (Japan, Greece, Austria is fairly high). Low: entrepreneurial, comfortable with risk (Singapore, Denmark).

## 5. Long-term vs. short-term

Deferring gratification for the long view. Long-term: East Asia. Short-term: US and most Western countries.

## 6. Indulgence vs. restraint

Free gratification of desires and enjoying life (Denmark, Mexico, US) versus strict norms curbing it (China, Iraq, South Korea).

*Geert Hofstede's IBM studies (1980) and later extensions (Hofstede, Hofstede & Minkov 2010); today maintained by The Culture Factor Group.*

# Hofstede scores compared: six countries

| Dimension             | Austria | USA | China | Japan | Brazil | Sweden |
|-----------------------|---------|-----|-------|-------|--------|--------|
| Power distance        | 11      | 40  | 80    | 54    | 69     | 31     |
| Individualism         | 55      | 91  | 20    | 46    | 38     | 71     |
| Masculinity           | 79      | 62  | 66    | 95    | 49     | 5      |
| Uncertainty avoidance | 70      | 46  | 30    | 92    | 76     | 29     |
| Long-term orientation | 60      | 26  | 87    | 88    | 59     | 53     |
| Indulgence            | 63      | 68  | 24    | 42    | 59     | 78     |

Scores 0-100: Austria - extremely low power distance; Japan - extreme masculinity and uncertainty avoidance; Sweden - most 'feminine' (5); China - collectivist, long-term. Source: Hofstede, Hofstede & Minkov (2010); theculturefactor.com's 2023-rescaled individualism/long-term scores are not comparable.

# Deal orientation vs. relationship orientation

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- **Deal-oriented cultures:** managers focus on the task, stay impersonal, rely on contracts and want to “just get down to business” — e.g. Northern Europe, North America, Australia.
- **Relationship-oriented cultures:** managers value affiliation, rapport and getting to know the other party — deals emerge from relationships, not the other way round. E.g. China, Latin America, the Middle East.
- Practical rule: in relationship-oriented markets, the first trip is **never** about the contract — budget for time, meals and repeated visits.

# Guanxi: relationships in Chinese business

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- **Guanxi (关系):** social connections and relationships based on mutual benefit — central to doing business in China.
- Emphasizes the **reciprocal exchange of favors** and mutual obligations over time.
- Rooted in **Confucian philosophy**, which values social hierarchy and reciprocity.
- Engenders trust — serving as a form of **insurance** in an environment where formal institutions may be weaker.
- Western analogue: networking — but guanxi is deeper, longer-term and carries genuine obligations; treating it as a quick transaction is itself a cultural blunder.

# Three layers: national, professional and corporate culture

## National culture

Nationality · ethnicity · gender · religion · social institutions · social class · educational systems

## Professional culture

Academe · business · banking · engineering · IT · legal · medical · military

## Corporate culture

The firm's own norms — “how we do things around here”

- These are **progressive socializations** through a person's life: we acquire national culture as children, professional culture in education, corporate culture on the job.
- Your counterpart is never *only* “Chinese” or “American” — an engineer at Siemens Shanghai carries all three layers at once.

*Based on Terpstra & David, The Cultural Environment of International Business (3rd ed.).*

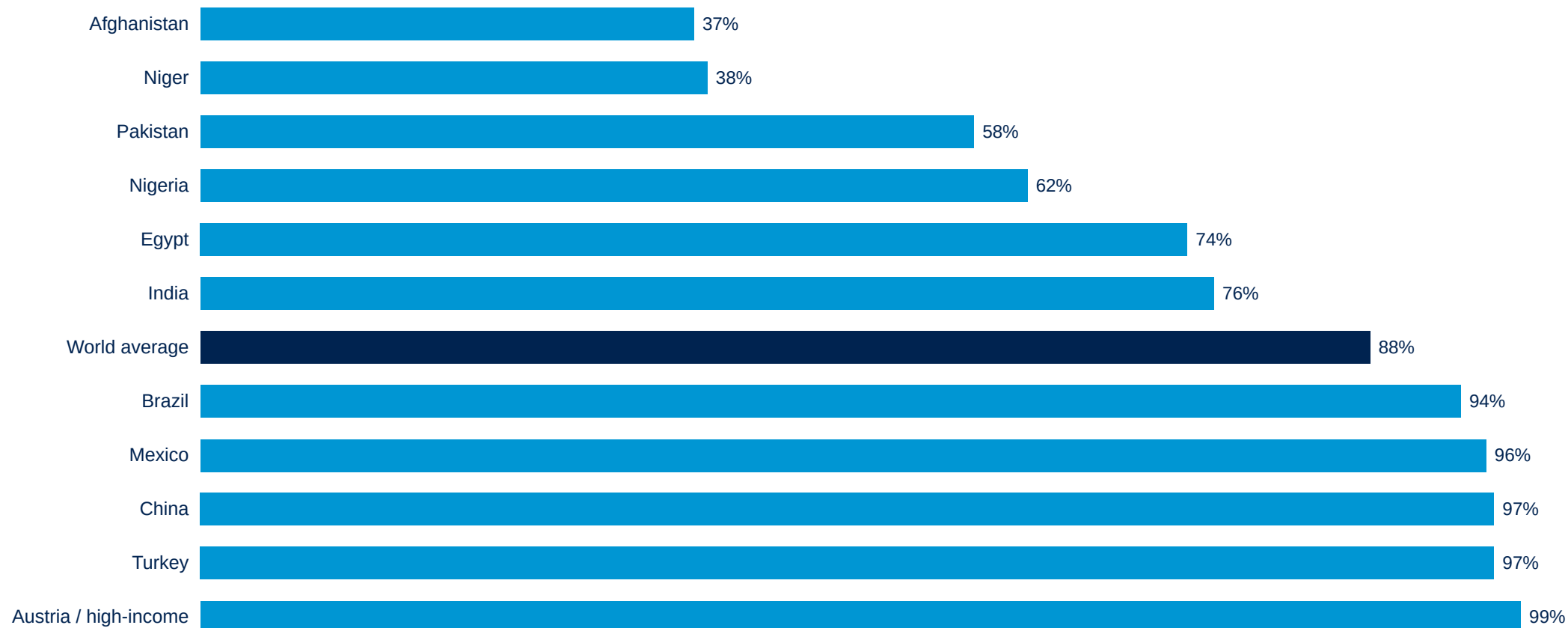


# Managerial orientations: ethnocentric, polycentric, geocentric

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- **Ethnocentric orientation:** Using our own culture as the standard for judging other cultures.
- **Polycentric orientation:** A mindset in which the manager develops a greater affinity for the country in which he or she works than for the home country.
- **Geocentric orientation:** A global mindset in which the manager is able to understand a business or market without regard to national boundaries. Managers should strive for a geocentric orientation.
- The goal of this course: move you from an **ethnocentric** toward a **geocentric** mindset.

## Adult literacy rates, selected countries (% of population 15+)



Share of population aged 15+ able to read and write; latest available year per country (2018-2024). Egypt and Turkey approximate. Source: World Bank / UNESCO Institute for Statistics (SE.ADT.LITR.ZS); UNESCO International Literacy Day factsheet 2025 (world ~88%).

# Managerial guidelines for cross-cultural success

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- Acquire **factual and interpretive knowledge** about the other culture; try to speak the language.
- **Avoid cultural bias** — beware the **self-reference criterion**: the unconscious tendency to view other cultures through the lens of your own.
- Develop **cross-cultural skills**: perceptiveness, interpersonal skill, adaptability.
- Use **critical incident analysis** for awkward moments: (1) identify the situation, (2) suspend judgment, (3) develop your best interpretation of the other side's behavior, (4) only then formulate your response — and learn from every incident.

# Personality traits for cross-cultural proficiency

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- **Tolerance for ambiguity:** Ability to tolerate uncertainty and lack of clarity in the thinking and actions of others.
- **Perceptiveness:** Ability to closely observe and comprehend subtle information in the speech and behavior of others.
- **Valuing personal relationships:** Ability to appreciate personal relationships; which are often more important than achieving one-time goals or “winning” arguments.
- **Flexibility and adaptability:** Ability to be creative in devising innovative solutions, be open-minded about outcomes, and show “grace under pressure.”

# Apply it: the critical-incident clinic

## IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

*Objective: practice the self-reference criterion and critical incident analysis on a real cross-cultural misfire.*

- 1 Take one real incident: an advertising blunder from today's table, a faux pas from the opening activity, or a case a group member has experienced.
- 2 **Diagnose it with the frameworks:** which layer of the iceberg failed? Was it a context issue (Hall) — and which Hofstede dimensions collided?
- 3 **Run critical incident analysis:** suspend judgment, build the most charitable interpretation of the other side's behavior.
- 4 **Fix it:** what should the firm or manager do differently — in preparation, communication and follow-up?
- 5 Present your incident and fix in 2 minutes; the class votes for the best diagnosis.

# Discussion questions

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- Is globalization making national cultures converge — or are the deep layers of the iceberg immune to Netflix and Instagram?
- Austria scores very low on power distance but fairly high on uncertainty avoidance. Where do you see that in Austrian business life — and in this classroom?
- Can a manager ever become truly geocentric, or is some self-reference criterion inescapable?
- When does adapting to a local culture cross the line into violating your own ethical standards — and what should a firm do then?



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